

FORM TP 2009228



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MAY/JUNE 2009

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

21 MAY 2009 (p.m.)

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C.E.S.E.C.

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A

MODULE 1

BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. Kevin James, a tailor, is contemplating whether to remain as a sole trader or to form a private limited company.
 - (a) Explain to Kevin TWO advantages and TWO disadvantages that a private limited company has over a sole trader. [12 marks]
 - (b) Discuss THREE ways in which a change in the economic system of the country from a mixed economy to a planned economy could affect Kevin's decision to form a private limited company. [13 marks]

Total 25 marks

2. Discuss THREE benefits and THREE drawbacks that Caribbean countries could experience with multinationals operating in their territories. [25 marks]

Total 25 marks

SECTION B

MODULE 2

MANAGEMENT OF PEOPLE

Answer ONE question from this section.

- 3.** Weber conceptualized that organizations would be managed on an impersonal, rational basis. Weber called this form of organization a bureaucracy.

(a) Outline FOUR characteristics of a bureaucracy as specified by Weber.

[8 marks]

(b) Discuss FOUR implications of "Weber's bureaucracy" on today's business organizations.

[17 marks]

Total 25 marks

- 4.** Change is a crucial element in an organization's ability to survive and grow.

(a) Explain FOUR reasons why employees resist change.

[12 marks]

(b) Discuss THREE methods that can be used to address resistance to change.

[13 marks]

Total 25 marks

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SECTION C

MODULE 3

BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. (a) (i) Define the term 'working capital'. [2 marks]
- (ii) Identify THREE components of working capital. [3 marks]
- (b) Buddy is setting up a new gas station and convenience store and requires financing for the following areas:
- Land and building
 - Machinery and equipment
 - Stock of petrol
 - Stock for convenience store
 - Wages for employees (for the first week)

Identify the MOST suitable source of finance for EACH of the above areas of the business. For EACH source identified, explain why it is the MOST suitable.

[20 marks]

Total 25 marks

6. The following is the Balance Sheet of Eastwood Hardware Ltd. as at December 31, 2008. Study the Balance Sheet and answer the questions that follow.

**Eastwood Hardware Ltd.
Balance Sheet as at December 31, 2008**

<u>Fixed Assets</u>	<u>\$ Cost</u>	<u>Less \$ depreciation</u>	<u>\$</u>
Buildings	500 000	50 000	450 000
Plant and machinery	100 000	40 000	60 000
Furniture and fittings	50 000	20 000	30 000
Motor vehicles	70 000	20 000	50 000
	<u>720 000</u>	<u>130 000</u>	<u>590 000</u>
<u>Current Assets</u>			
Stocks		140 000	
Debtors		30 000	
Prepayments		5 000	
Cash		1 000	
		<u>176 000</u>	
<u>Less current liabilities</u>			
Bank overdraft	13 000		
Creditors	12 000		
Accrued costs	1 000		
Taxation payable	<u>10 000</u>	<u>36 000</u>	
<u>Net current assets (working capital)</u>			<u>140 000</u>
<u>Assets less current liabilities</u>			<u>730 000</u>
<u>Less long-term liabilities</u>			
Bank loan			<u>180 000</u>
			<u>550 000</u>
<u>Net assets</u>			
Financed by			
Share capital			200 000
Ordinary shares			<u>200 000</u>
Preference shares			400 000
Reserves			<u>150 000</u>
			<u>550 000</u>

The following items have been omitted from the Balance Sheet of Eastwood Hardware Ltd.

- Money owed to business from suppliers
- An item of stock in a warehouse
- A piece of equipment used to make products
- Electricity consumed
- Rent paid in advance for the next three months

- (a) Identify the appropriate sub-heading under which EACH of the omitted items would appear in the Balance Sheet of Eastwood Hardware Ltd. [5 marks]

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- (b) (i) Outline the MAIN difference between performance ratio and liquidity ratio. [3 marks]
- (ii) Identify ONE stakeholder who will be interested in EACH type of ratio. [2 marks]
- (c) Calculate the following ratios for Eastwood Hardware Ltd. and explain the implication of EACH ratio.
- (i) Current Ratio
- (ii) Acid Test Ratio
- (iii) Gearing Ratio [15 marks]

Total 25 marks

END OF TEST